

Business Strategy

Our strategic framework, based on the three levers of strengthening our core, R&D and innovation, and sustainability, revolves around creating strong scientific foundations in green chemicals and pharmaceuticals, fostering sustainability, fueling growth to create value for our stakeholders, and delivering our ambition.



STRENGTHENING OUR CORE

The first strategic lever focuses on strengthening our core capabilities by optimizing efficiency, achieving cost leadership, mitigating supply chain risks, expanding market presence, and progressing along the value chain in strategic markets.



R&D AND INNOVATION

The second strategic lever empowers us to drive innovation and research and development across our entire value chain, from finished formulations to active pharmaceutical ingredients (APIs) and even chemical intermediates. Through groundbreaking technology platforms, we are reshaping the realm of chemistry, igniting new possibilities for advancement.



SUSTAINABILITY

Sustainability, the third strategic lever, lies at the heart of our strategic vision. Aspiring to become a global leader in sustainability, we are committed to achieving Net Zero by 2050. Through transformative initiatives such as the partnership with Greenko, the adoption of eco-friendly technologies such as Biocatalysis, and the integration of sustainability into product development, we are fostering positive change and reshaping responsible business practices.



STRENGTHENING OUR CORE

Fortifying Our Leadership Position

Our strategic focus lies in improving productivity in API & Formulations manufacturing, optimizing sourcing and logistics, and implementing a commercial excellence program to strengthen our market presence and expand customer share.

With years of dedicated effort in manufacturing excellence, vertical integration, focused execution, and cost leadership, we have built a resilient business centered around key core molecules. This achievement has led us to a critical scale and a prominent leadership position in the market.

Our core strength lies in our existing products, esteemed customers, robust pipeline, state-of-the-art manufacturing facilities, and extensive capabilities. We have cultivated a reputation and fostered a culture of Manufacturing Excellence, leveraging economies of

scale, producing large-volume products, and possessing advanced infrastructure for MUPS, Oncology, and controlled substances.

We are institutionalizing this approach as an ongoing commitment to continuously enhance profitability through a portfolio of value engineering projects. The improved margins from our core business provide us with the resources to invest in future growth drivers and drive innovation-led research and development initiatives.



WE ARE STRENGTHENING OUR CORE IN THE FOLLOWING WAYS



**Global Leadership
in Select Molecules**



**Global
Cost Leadership**



**Business
Development**



**Customer
Service Excellence**



**Successful New
Product Launches**



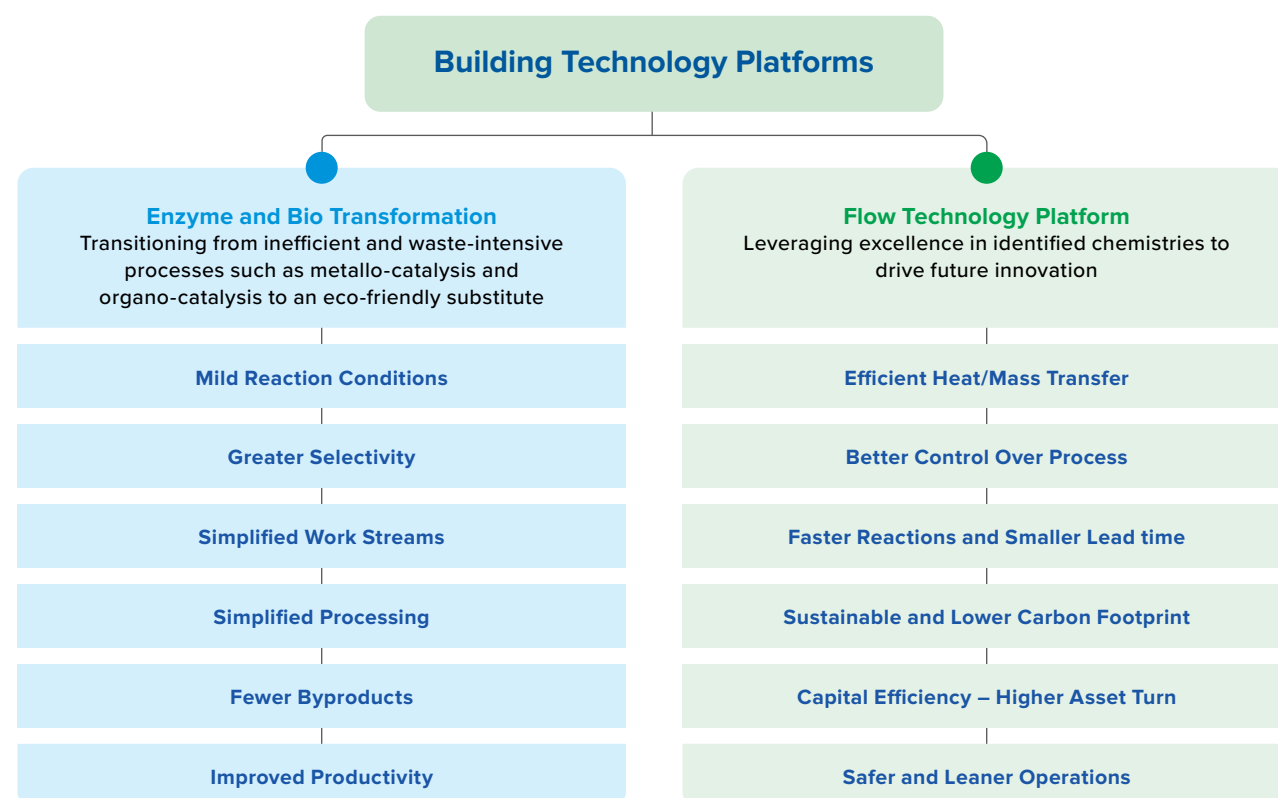
R&D AND INNOVATION

Catalyzing Growth through Product Portfolio Expansion

Aligned with our strategic vision of transforming into an R&D-driven organization, we are actively augmenting our product development capabilities. Through these advancements, we aim to broaden our overall capabilities, elevate the quality of our portfolio, and significantly increase the number of regulatory filings. By doing so, we are positioning ourselves for robust future growth.

During FY 2022-23, we achieved the notable milestone of establishing an integrated product development R&D center at Genome Valley, a Center of Excellence (CoE) dedicated to Controlled Substances APIs and KSM development at Pragathi Nagar, and the creation of a cutting-edge Bio Lab at Pragathi Nagar.

The sprawling 20,000 sq. ft. Genome Valley facility unifies API R&D and Formulation R&D teams, fostering agile product development. On the other hand, the Bio Lab at Pragathi Nagar strengthens our capabilities in fermentation, biotransformation, and enzyme-led projects. Leveraging the R&D expertise of Pragathi Nagar and Granules Pharma Inc (GPI), we are poised to expand our footprint in controlled substances, solidifying our position in the market.



PIONEERING GREEN PRODUCT DEVELOPMENT FOR SUSTAINABLE GROWTH

We place sustainability at the forefront from the early stages, integrating our green chemistry matrix with principles like Atom economy, Atom efficiency, and E-factor. The Eco-Scale concept assesses process efficiency through evaluations across 6 parameters and 38 sub-parameters at every stage. Supported by eco-friendly enzymes and bio-transformation, our superior capabilities in identified chemistries enhance sustainability. Operational targets and green score thresholds drive our unwavering commitment to embedding sustainability in each product, cultivating a greener and more responsible approach.

SUSTAINABILITY

From Vision to Action

Sustainability is at the heart of Granules' strategic vision and deeply embedded in the Company's decision-making process. It serves as a guiding principle that influences our choices and actions, ensuring that we prioritize long-term environmental and social considerations alongside our business objectives.

We are actively breathing life into sustainability through pioneering initiatives, exemplified by our ground-breaking partnership with Greenko for green pharmaceutical products. This transformative collaboration seeks to foster a symbiotic connection between the well-being of our planet and the health of humanity. By harnessing green energy, sustainable industrial feedstocks, and embracing circular economy principles, we are intertwining growth with sustainability.

Moreover, sustainability is intricately integrated into our product development process, as demonstrated by the implementation of our Green card and Eco scale initiatives. These endeavors showcase our unwavering commitment to environmentally responsible practices and serve as tangible steps toward creating a more sustainable future.

Getting Recognized in the Universe of Sustainability

CRISIL

An S&P Global Company

54

 Rating by CRISIL (23rd rank among pharmaceutical companies)

C Score

Received for climate change in our first CDP disclosure

ecovadis
Silver Rating

Achieved by Unit-1 Bonthapally

Bronze Rating

Achieved by Jeedimetla unit



We set ambitious near and long-term goals across the areas of ESG by actively listening to our stakeholders.

We aim to:

Be Net Zero by 2050

Scale Green Chemistry product development and set up a flagship green pharma plant with an outlay of ₹ 2,000 crores

Establish an enterprise-wide sustainability governance framework